Ocean Two Condominium — 2026 Budget Review

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Executive summary

The 2026 budget for Ocean Two Condominium Association (254 units) totals **$7,569,303**, up **4.3%** from $7,258,628 in 2025. The owners' monthly fee rises only about **2.4%**, but that small increase is possible only because of one-time money and a large cut to the regular reserves. Without those, the real cost pressure is closer to a **10% increase**.

The five issues the board should explain to owners:

1. **One-time money covers recurring costs.** A new $500,000 "Special Assessment Residual" is counted as revenue. Without it, the fee increase would be about 9.7%, and the gap comes back in 2027.
2. **The regular reserves are underfunded.** The contribution is cut 45% (from $1,044,720 to $572,514). A simple projection shows the fund running about $1.8M short in 2027, when the elevators (about $4M) are due.
3. **The structural-safety (SIRS) reserve starts from zero** and appears to overlap with the regular reserve schedule for roof, waterproofing and electrical.
4. **Staffing contracts grow about 3× faster than the budget.** They reach about $2.04M (+12.7%), led by General Salary Service (+36%), Valet (+36%) and Front Desk (+24%).
5. **The insurance savings are spent.** Insurance drops $678,554 (−28%), and that saving goes to higher operating costs instead of reserves.

This review uses only the budget package dated 02/02/2026 (the system budget, the 2025-vs-2026 comparison, the fee schedule and both reserve schedules). It is a financial review for owners, not legal or accounting advice.

Budget at a glance

Category	2025 budget ($)	2026 budget ($)	Change	2026 per unit ($/yr)
Contracts (staff & services)	2,574,648	2,823,290	+9.7%	11,115

Category	2025 budget ($)	2026 budget ($)	Change	2026 per unit ($/yr)
Insurance	2,400,000	1,721,446	−28.3%	6,777
Reserve transfers (regular + SIRS)	1,044,720	1,644,630	+57.4%	6,475
Utilities	689,544	664,200	−3.7%	2,615
Repairs & maintenance	368,450	496,100	+34.6%	1,953
Administrative	181,266	219,637	+21.2%	865
Total expenses	**7,258,628**	**7,569,303**	**+4.3%**	**29,800**

On the revenue side, owner fees total $6,948,110 for 2026 (from the fee schedule: $579,009.27 per month × 12), against $6,787,661 at current rates, an increase of 2.36%. The rest of 2026 revenue is the $500,000 residual plus about $121,000 of smaller items (rental, moving, interest, cable and similar fees).

How items were flagged

Each line is measured against the budget's own averages, using the 2025 approved budget printed beside the 2026 proposal. For budget line i, with N = 254 units:

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g_i=\frac{B_i^{(2026)}-B_i^{(2025)}}{B_i^{(2025)}},\qquad
\Delta_i=B_i^{(2026)}-B_i^{(2025)},\qquad c_i=\frac{B_i^{(2026)}}{N}
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There are two benchmarks: total budget growth, and growth in operating costs after removing insurance (I) and reserve transfers (R), the two lines that moved for their own reasons:

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\bar g=\frac{\sum_i B_i^{(2026)}}{\sum_i B_i^{(2025)}}-1=4.28\%,\qquad \bar
g_{\mathrm{op}}=\frac{\sum_i B_i^{(2026)}-I^{(2026)}-R^{(2026)}}{\sum_i
B_i^{(2025)}-I^{(2025)}-R^{(2025)}}-1=\frac{4{,}203{,}227}
{3{,}813{,}908}-1=10.21\%
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A line is flagged when its growth is far above the operating benchmark and the dollar change is material, or when the line has a structural problem (one-time funding, missing detail, duplication, or a reserve shortfall).

1. One-time $500,000 is covering recurring costs

Line 40095, "Special Assessment Residual," adds $500,000 of revenue that did not exist in 2025. It is leftover money from an earlier special assessment. Using it keeps the visible fee increase small. With F as total annual owner fees and S as the residual:

$$\frac{F^{(2026)}-F^{(2025)}}{F^{(2025)}}=\frac{6{,}948{,}110-6{,}787{,}661}{6{,}787{,}661}=2.36\%,\qquad \frac{F^{(2026)}+S-F^{(2025)}}{F^{(2025)}}=\frac{7{,}448{,}110-6{,}787{,}661}{6{,}787{,}661}=9.73\%$$

Why it matters: the costs it pays for (staff, contracts, repairs) recur every year, but the residual does not. Unless costs fall, the 2027 budget has to find another $500,000, which is about $1,970 per unit per year on top of normal growth.

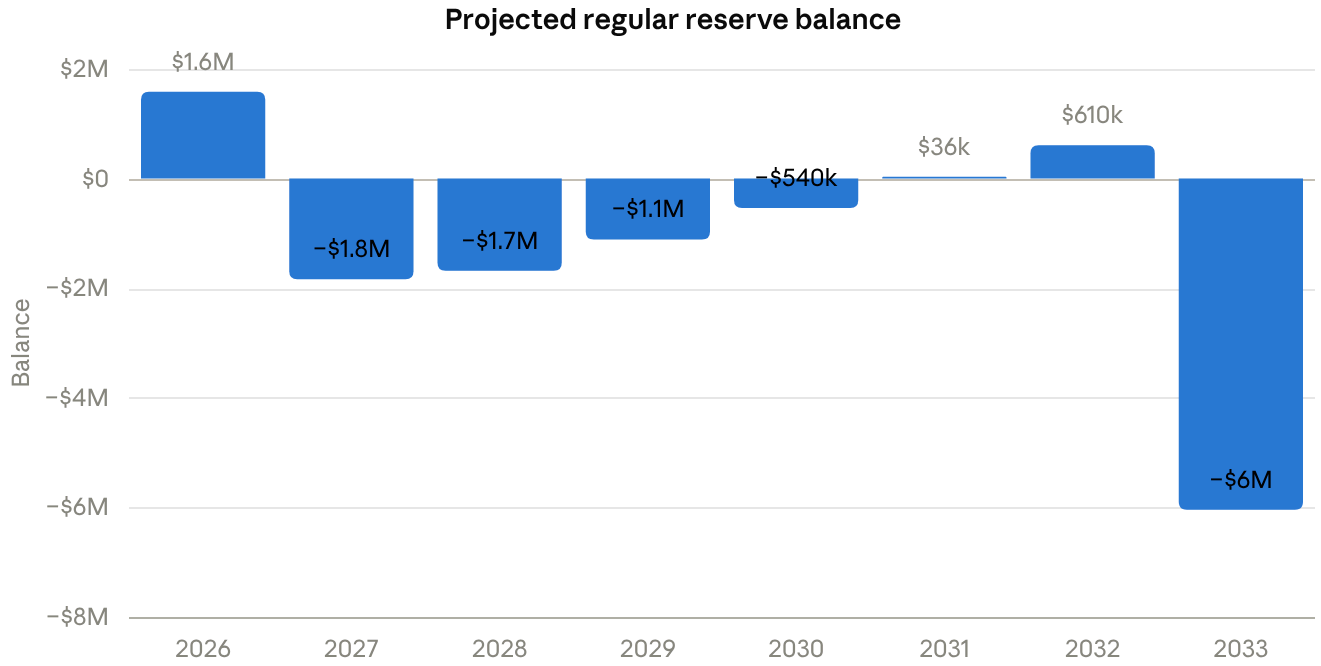
Legal note: Florida Statute §718.116(10) treats excess special-assessment funds as common surplus, which the board may return to owners or credit toward future assessments. Crediting it may therefore be allowed. Owners should still be told clearly that 2026 fees are lowered by one-time money. (Confirm with the association's counsel.)

2. Regular reserves are cut 45% just before a $4M elevator replacement

The regular (pooled) reserve contribution falls from $1,044,720 to **$572,514**. The reserve schedule lists $22,846,071 of components, including elevators at **$3,992,061 with 2 years of life left**, and $21,834,150 still to be funded.

A simple year-by-year projection, where C is the annual contribution and E is the replacement cost falling due that year:

$$R_{t+1}=R_t+C-E_{t+1},\qquad R_{2025}=1{,}252{,}039-240{,}118=1{,}011{,}921,\qquad C=572{,}514$$



Year-end balance. Contribution held at $572,514/yr; each component replaced in 2025 + remaining life; no interest or inflation

Pooled reserve schedule, 2026 budget package

The fund goes about **$1.84M negative in 2027** and stays negative until about 2031. Measured another way, most of the replacement cost falls due within about 10 years (cost-weighted average remaining life):

$$\bar L=\frac{\sum_k C_k L_k}{\sum_k C_k}=9.71\ \text{yrs}\quad\Rightarrow\quad \frac{21{,}834{,}150}{9.71}\approx \$2.25\text{M per year needed, vs. } \$572{,}514\text{ budgeted}$$

At the budgeted rate, the balance would take about 38 years to fund (21,834,150 / 572,514). **As budgeted, a special assessment for the elevators is likely.**

3. The SIRS reserve starts from zero and overlaps the regular reserves

The Structural Integrity Reserve Study (SIRS) schedule lists $21,384,196 of components with a **$0 starting balance**; there was no SIRS funding in 2025. The 2026 contribution is $1,072,116, which takes about 20 years to fund the total. Funding each component evenly over its remaining life would require about 31% more:

$$\sum_k \frac{C_k}{L_k}=\$1{,}406{,}636\ \text{per year}\qquad\text{vs.}\qquad \$1{,}072{,}116\ \text{budgeted}\quad(76\%)$$

The roof alone ($1,162,957 with 3 years left) needs about $387,652 a year on this basis. Whether the budgeted amount meets Florida's SIRS funding rules depends on the funding method in the association's reserve study, which is not in the package.

The same building systems appear in both schedules with different figures:

Component	Regular (pooled) schedule	SIRS schedule
Roof	$4,018,048 · 20-yr life · 12 yrs left	$1,162,957 · 24-yr life · 3 yrs left
Waterproofing	$1,492,233 (Painting – Waterproofing) · 10 yrs left	$5,888,403 · 17 yrs left
Electrical	$2,976,728 (Mechanical – Electrical) · 18 yrs left	$859,290 · 22 yrs left

In addition, a SIRS line labeled only "SIRS Reserves" carries **$2,014,258** with no component named. Owners should ask whether these are double-counted, and what the $2M line covers.

4. Staffing contracts grow about 3× faster than the budget

Line	2025 ($)	2026 ($)	Change ($)	Change (%)
Gen'l Salary Service	227,618	310,415	+82,797	+36.4%
Valet Service	220,000	300,000	+80,000	+36.4%
Front Desk Service	201,573	250,835	+49,262	+24.4%
Pool Attendant Svc.	180,000	200,000	+20,000	+11.1%
Bonus	20,000	30,000	+10,000	+50.0%
Operations Staff Svc	200,000	159,140	−40,860	−20.4%

Across the 12 staffing and service-labor lines (the six above plus Maintenance, Janitorial, Health Benefits, Groundskeeper, Painting and Receiving Clerk), the total reaches **$2,038,090, up 12.7%**, about **$8,024 per unit per year**. That is 48.5% of operating costs excluding insurance and reserves.

Points to question:

- **"Gen'l Salary Service"** is vague and has the largest dollar increase. Its rise roughly mirrors the Operations Staff cut, which suggests staff may have moved between lines. Ask for headcount and hourly rates by line.
- **Round numbers:** Valet at exactly $300,000 and Pool Attendant at exactly $200,000 look like estimates, not contract figures. Ask for the signed contracts.
- **Bonus** rises 50% and is paid on top of contracted staff. Ask who receives it and on what basis.

5. The insurance savings are absorbed by higher costs

Multiperil insurance falls from $2,400,000 to **$1,721,446** (−$678,554, −28.3%), dropping from 33.1% to 22.7% of the budget. This is good news, but it is what makes room for the operating increases above. Had insurance stayed flat, total expenses would have grown:

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\frac{7{,}569{,}303+678{,}554-7{,}258{,}628}{7{,}258{,}628}=13.6\%
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Operating costs without insurance and reserves grow 10.2% (from $3,813,908 to $4,203,227). Two questions follow:

- Does $1,721,446 match a policy that has actually been bound, or is it an estimate? If the renewal comes in higher, the budget has no cushion except the contingency line.
- Why was the saving spent on operating increases rather than used to restore the regular reserve contribution (see finding 2)?

6. Discretionary and contingency lines jumped

Line	2025 ($)	2026 ($)	Change (%)	Note
Contingency	25,000	70,000	+180%	A cushion on top of every specific repair line
Social Committee	7,500	20,000	+167%	Discretionary spending
Electronic Voting Service	1,450	10,000	+590%	An administrative cost filed under repairs
Electrical Supplies	2,000	10,000	+400%	No explanation given

Line	2025 ($)	2026 ($)	Change (%)	Note
Plumbing Supplies	10,000	20,000	+100%	R&M-Plumbing also +33%
R&M-General	15,000	25,000	+67%	Unspecified repairs
Professional Fees	40,000	50,000	+25%	Services not specified
Legal Fees (general)	10,000	15,000	+50%	Plus $40,000 litigation and $1,000 collections

Repairs & maintenance as a whole rises **34.6%** (from $368,450 to $496,100), and administrative costs rise **21.2%**, both well above the 10.2% operating benchmark. The $40,000 litigation line suggests an ongoing lawsuit, which the package does not explain.

7. Other anomalies

- **Identical amounts:** Groundskeeper and Painting Service are both exactly $4,226 per month ($50,713 per year). In 2025 they were different ($49,476 and $51,952), so this may be a copy-paste error.
- **Overlapping landscaping:** Lawn Maintenance, Groundskeeper, Landscaping, Tree Trim, Interior Plant and Irrigation add up to **$148,713**.
- **Bulk cable:** $275,000 works out to **$90.22 per unit per month**, against only $5,100 of cable income. Ask for the contract term and whether it has been re-bid.
- **Pool program:** attendants, contract, repairs, furniture, spa supplies, towels and permit total about **$269,900**, or $1,063 per unit per year.
- **Totals don't tie:** net income is shown as −$3, −$1 or +$2 on different pages, and administrative totals as $18,303 vs. $18,305 per month. These are small, but the pages should reconcile.

Questions for the board and recommended actions

Questions owners should ask:

1. How was the $500,000 special assessment residual created, and how will the 2027 budget replace it?
2. How will the roughly $4M elevator replacement be paid for, given the 2027 reserve shortfall? Is a special assessment planned?

3. Are roof, waterproofing and electrical double-counted between the regular and SIRS reserve schedules? What does the $2,014,258 "SIRS Reserves" line cover?
4. What are the headcount, hourly rates and signed contracts behind Gen'l Salary, Valet, Front Desk and Pool Attendant?
5. Is the $1,721,446 insurance figure a bound policy? Why was the saving not put toward reserves?
6. What is the ongoing litigation, and what outcome is expected?
7. Can we see the cable contract, and when was it last re-bid?

Recommended actions:

- [ ] Publish a one-page note explaining that 2026 fees are lowered by one-time money, with a 2027 outlook.
- [ ] Commission (or share) an updated reserve study with a year-by-year cash-flow projection for both reserve schedules.
- [ ] Reconcile the two reserve schedules and remove any overlap.
- [ ] Provide a staffing breakdown (positions, hours, rates) for every labor contract line.
- [ ] Re-bid cable, valet and pool attendant contracts.
- [ ] Move Electronic Voting to administrative costs, and correct the Groundskeeper/Painting amounts if they were copied in error.